

and triple+. The negative sign means price dropped, and it's a measure of how far below the bottom of the cup price falls, on average.

Trading Tactics

I show two tables of trading tactics. Let's begin with the usual one for chart patterns, shown in [Table 21.10](#).

[Table 21.10](#) Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height by subtracting the lowest low reached in the cup from the high at the right cup rim. Add the difference to the high at the right cup rim and the result is the target price. The bottom portion of the table shows how often the measure rule works.
Buy inner cup	If you discover a cup within a cup, buy on the breakout of the inner cup (when price closes above the inner cup rim). Be prepared to sell at the price of the outer left rim.
Stop location	Place a stop-loss order 15 cents below the handle to limit losses. The stop will trigger 18% of the time.

Description	Bull Market
Percentage reaching half height target	84%
Percentage reaching full height target	64%
Percentage reaching 2× height	40%
Percentage reaching 3× height	26%

Measure rule, targets. The measure rule predicts the price to which the stock will rise. The traditional method involves determining the height of the pattern from lowest low in the cup to the high at the right cup rim. Adding the height to the high at the right cup rim gives the target.

How often does this work? The bottom portion of the table shows the answer, depending on the height used in the calculation. A full height, as described above, works 64% of the time. If you take half the height and